The Silent Sabotage of the Indian Economy

The Undeclared War Against India

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Executive Summary

This briefing outlines how India's economic sovereignty has been incrementally undermined through technocratic policy instruments disguised as reform. Specifically, it highlights the deployment of the 2015 Asset Quality Review (AQR) under RBI Governor Raghuram Rajan as a pivotal moment of institutional sabotage that redirected the credit architecture of the Indian economy away from productive investment and toward unsustainable consumer debt

The Salaried Indian Middle class stands with eyes blindfolded at the edge of the Abyss of Financial Ruin.

The State of the Indian Middle Class

1. **Stagnant income growth** – due to lack of private sector capex and job creation.
2. **Aspirational consumption** – driven by social media and rising lifestyle expectations.
3. **Debt-fuelled living** – leading to an emerging *debt trap* for 5–10% of borrowers.

The Make In India program, an Initiative by the Modi Government, has been sabotaged too, by the same forces that have ruined the Indian Middle Class

The Narrative

COMMON THEMES ACROSS ARTICLES published by Nandita Rajhansa and Saurabh Mukherjea on Marcellus Investment Managers website (www.marcellus.in).

- Stagnation of Middle-Class Incomes amidst rising cost of living.
- Explosion of Household Debt primarily for consumption, not investment.
- Social and Political Marginalization of the middle class.
- Structural Weaknesses in Education and job readiness.
- Aspirational Consumption driven by media and credit, despite financial stress.

Article Title	Main Thesis	Key Issues Highlighted
Excessive Debt and the Illusion of Wealth	Middle class is falling into a debt trap due to stagnant income and high aspirations.	Stagnant income, tax burden, lifestyle borrowing
India's Middle Class is Losing Ground to the Rich & the Poor	Middle class is economically and politically squeezed between the rich and poor.	Job automation, political disempowerment, income stagnation
Midnight Approaches for India's Retail Lending Boom	Retail lending boom may collapse under rising unsecured debt and declining savings.	Unsecured lending risks, demographic borrowing boom
The Most Indebted People in the World	India has one of the highest non-mortgage household debt levels globally.	Consumer debt rise, low asset creation, subprime risks
University Education and the Illusion of Learning	University education fails to ensure	Graduate unemployability,

	employment or income uplift.	outdated curricula, AI disruption
Why is the Great Indian Middle Class Struggling but Choosing to Live a Luxurious Life?	Aspirational consumption persists despite economic stress due to easy credit.	Social media pressures, consumption mismatch, credit-fuelled lifestyle
Why is the Indian Middle-Class Suffering?	Technology, slowdown, and poor savings are eroding middle-class stability.	Tech displacement, economic downturn, debt-laden households

The Marxist Lens (Petite Bourgeoisie Collapse)

The [petty bourgeoise] sink[s] gradually into the proletariat, partly because their diminutive capital does not suffice for the scale on which Modern Industry is carried on, and is swamped in the competition with the large capitalists, partly because their specialized skill is rendered worthless by new methods of production.

KARL MARX – THE COMMUNIST MANIFESTO

The Diagnosis of What Ails the Indian Financial System and the Economy

The reluctance of Indian lenders to finance capex combined wit the rise of automation has jammed the ability of the Indian middle class to get jobs & pay hikes. With incomes stagnant and with Income Tax & GST taking away a growing share of the disposable income of the middle class, it has loaded up on debt to finance its lifestyle in a country with soaring aspirations fuelled by social media. Now evidence is growing that 5-10% of middle-

class Indians are in a debt trap i.e., they are taking multiple loans to finance day-to-day consumption and keep up with their debt repayments. Consequently, we are likely to see an extended period of depressed consumption for mass market products in sectors like auto, consumer durables, real estate, building materials and FMCG.

NANDITA RAJHANSA AND SAURABH MUKHERJEA -

EXCESSIVE DEBT AND THE ILLUSION OF WEALTH

The Trigger – A Causal Relationship between the AQR [Rajan 2015] and the current state of the Indian Economy

It started with Rajan's AQR

In 2015 the then RBI Governor, Raghuram Rajan, made Indian banks do something that they had rarely done before. He made them conduct an Asset Quality Review (AQR) so that the RBI could assess the real level of non-performing assets (NPAs) in the banking system as opposed to the fictitious NPAs many of the banks were then reporting (thereby boosting their profits, their net worth and consequently their share prices).

Whilst the banks hated the AQR, most observers – including us – believed that the RBI Governor had done the right thing.

However, one unfortunate and unintended consequence of AQR was that in the decade that followed banks became super reluctant to lend to corporates for project finance. Between FY14-24, loan sanctions by banks for projects in India (i.e., capex) have grown at a CAGR of 12%.

This outcome in turn produced two other unfortunate side-effects:

(a) it pushed banks to market loans aggressively to India's middle class and progressively the middle class sank deeper into debt; and

(b) the difficulty of accessing capital for projects resulted in the Indian private sector comprehensively throttling off on capex with the result that private sector job creation has been anaemic over the past decade even in years like FY22-24 when the economy was in good shape.

NANDITA RAJHANSA AND SAURABH MUKHERJEA -

EXCESSIVE DEBT AND THE ILLUSION OF WEALTH

This is a damning admission of sabotage of the Indian Economy and Financial System by a Protégé of Dr. Manmohan Singh, Dr. Raghuram Rajan , RBI Governor [2015]

The Silent Sabotage of the Indian Economy

The Core Thesis

The UPA-II Government, under Prime Minister Dr. Manmohan Singh, and the INC High Command Sonia Gandhi, punished the Indian Middle class for voting against them. The punishment was in the form of the AQR [Asset Quality Review], inflicted under the authority of the then RBI Governor, Dr. Raghuram Rajan, handpicked for the job by Dr. Manmohan Singh.

Strategic Allegation

The Indian Republic has, over the last decade, been subjected to an undeclared form of internal economic sabotage, conducted not through military means, but through technocratic instruments and institutional infiltration. The 2015 Asset Quality Review (AQR), initiated under RBI Governor Raghuram Rajan, was the secret weapon used by the UPA-II Government to sabotage the Indian Economy and the Indian Financial

The Trojan Horse Thesis

Dr. Raghuram Rajan, appointed RBI Governor in 2013 by UPA-II under Dr. Manmohan Singh and Sonia Gandhi, acted as a political appointee with full awareness of the consequences of the AQR. The hypothesis presented is that:

- The AQR was introduced knowing it would collapse lending to productive sectors.

- It forced public sector banks into a freeze on corporate credit.
- This led to jobless growth, stagnating middle-class income, and a surge in subprime retail lending.

This thesis draws on Rajan's deep global experience (Ph.D. from MIT, Chief Economist at IMF), which makes it implausible that the fallout from AQR was unforeseen.

Economic Consequences

- Capex and private sector job creation collapsed post-AQR.
- Personal loans rose from 16.9% to 32.4% of bank credit (2014–2024).
- Industry's share of credit fell from 42% to 22.2%.
- Net household financial savings are at a 40-year low.
- Retail debt traps are now affecting 5–10% of middle-class households.

App-Based Lending & Economic Entrapment

- The post-AQR lending boom shifted from investment to app-based personal lending.
- No collateral, no verification, and no accountability.
- Subprime borrowers are lured into cycles of revolving credit.

Institutional Complicity

- The Supreme Court in 2024 overturned a 2008 NCDRC cap on credit card interest rates, legitimizing rates over 36%.
- The RBI failed to restrict unsecured digital lending practices.
- CBI inaction and a lack of judicial activism have allowed systemic erosion of financial sovereignty.

Political Blind Spot

This briefing contends that the Modi government, despite its nationalistic and economic pragmatism, remains unaware of the technocratic sabotage embedded in institutions it inherited. The very voter base it relies on — India's middle class — has been financially devastated as a result.

Public Assertion

*The Author categorically asserts that India is in a **state of economic war**, one waged through policy, regulation, judicial decisions, and institutional capture.*

The Mechanism of the Sabotage

The AQR Trigger (2015)

- *Raghuram Rajan's Asset Quality Review exposed NPAs (non-performing assets) hidden by Indian banks.*
- *After AQR, banks became risk-averse, especially toward corporate/project lending.*
- *Capex lending slowed, starving the economy of long-term productive investment.*

The Chain Reaction

Trigger (AQR)	→ Consequence
Banks stop funding capex	→ Private sector throttles hiring and investment
Fewer good jobs	→ Middle-class incomes stagnate
Rising cost of living & taxes	→ Savings erode
Aspirational pressure	→ Middle class borrows to maintain lifestyle
Easy consumer credit	→ Multiple loans taken for daily needs and lifestyle
Result	→ **Debt trap** + **Consumption slowdown** in middle-class product sectors

Sectors at Risk from Depressed Consumption

- *Automobiles (entry-level vehicles, scooters)*
- *Real estate (affordable housing)*
- *Building materials*

- *FMCG (branded essentials)*
- *Consumer durables (TVs, ACs, phones, appliances)*

The Causal Link

The AQR was inflicted upon the Indian Economy without any measures to mitigate the known and expected Economic Fallouts

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IT STARTED WITH RAJAN'S AQR -> BANKS BECAME SUPER RELUCTANT TO LEND TO CORPORATES FOR PROJECT FINANCE. (A) IT PUSHED BANKS TO MARKET LOANS AGGRESSIVELY TO INDIA'S MIDDLECLASS AND PROGRESSIVELY THE MIDDLE CLASS SANK DEEPER INTO DEBT; AND (B) THE DIFFICULTY OF ACCESSING CAPITAL FOR PROJECTS RESULTED IN THE INDIAN PRIVATE SECTOR COMPREHENSIVELY THROTTLING OFF ON CAPEX WITH THE RESULT THAT PRIVATE SECTOR JOB CREATION HAS BEEN ANAEMIC OVER THE PAST DECADE EVEN IN YEARS LIKE FY22-24 WHEN THE ECONOMY WAS IN GOOD SHAPE

The Strategic Thesis

India is facing a non-kinetic, fourth-generation economic assault. Unlike traditional warfare, this attack is subtle, technocratic, and embedded within the financial and regulatory architecture of the Indian state. It is characterized by:

- Weaponized policy decisions that yield disproportionately destructive second-order effects
- Systematic disempowerment of the Indian middle class and productive economy

- Legal and institutional capture that facilitates predatory lending and capital misallocation

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The Trojan Horse: Raghuram Rajan's AQR

- **Background**: Rajan, a globally recognized economist, was appointed by UPA-II in 2013. His pedigree includes Chief Economist at the IMF and a Ph.D. from MIT in banking and finance.
- **Deployment**: In 2015, under the NDA government, Rajan launched the AQR, a move that forced public sector banks to fully recognize hidden NPAs.
- Second-Order Impact:
  - Banks became risk-averse and curtailed long-term lending to the corporate and infrastructure sectors.
  - Lending shifted massively toward unsecured personal loans, credit cards, and consumer lending.
  - This led to a slowdown in capex, anaemic job creation, and the erosion of middle-class financial stability.

Collateral Damage: India's Middle Class

- Post-AQR, household savings plummeted to 40-year lows.
- Consumption was sustained not by income growth but by debt-fueled lifestyle inflation.
- RBI and credit bureau data suggest that 5–10% of middle-class Indians are now caught in a revolving debt trap.
- Supreme Court's 2024 judgment legalized usurious interest rates (36%+), further trapping vulnerable borrowers.

Political Economy of Sabotage

- Rajan's knowledge of global precedents (Japan, US, EU post-crisis credit patterns) strongly suggests the AQR's fallout was foreseeable.
- Despite being appointed under UPA, his most economically disruptive move was timed under the NDA.
- The core voter base of the ruling BJP—the aspirational middle class—has been financially debilitated, while the government remained unaware or unable to counteract the shift.

Indicators of a Coordinated Institutional Compromise

- Judiciary: Supreme Court ruling in Favor of unregulated credit card interest rates
- Central Bank: Lack of safeguards against subprime digital lending post-AQR
- Investigative Agencies: Systemic inaction against retail lending frauds and fintech malpractices

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Policy Recommendations

1. **Immediate Parliamentary Inquiry** into the strategic implications of the AQR and post-AQR credit allocation.
2. **Debt Audit**: Mandate a forensic review of retail lending patterns from 2015 onward.
3. **Credit Reform Taskforce**: Restore balance between investment-grade credit and household leverage.
4. **Judicial Review** of the SC ruling legitimizing high interest rates on revolving credit.
5. **National Security Council Briefing**: Integrate financial sabotage into the national threat matrix.

Closing Note

India is not merely in an economic crisis—it is in an **economic war**, and the battlefield is its own financial system. The sabotage is silent, legalistic, technocratic, and dangerously sophisticated. The response must be strategic, systemic, and immediate.